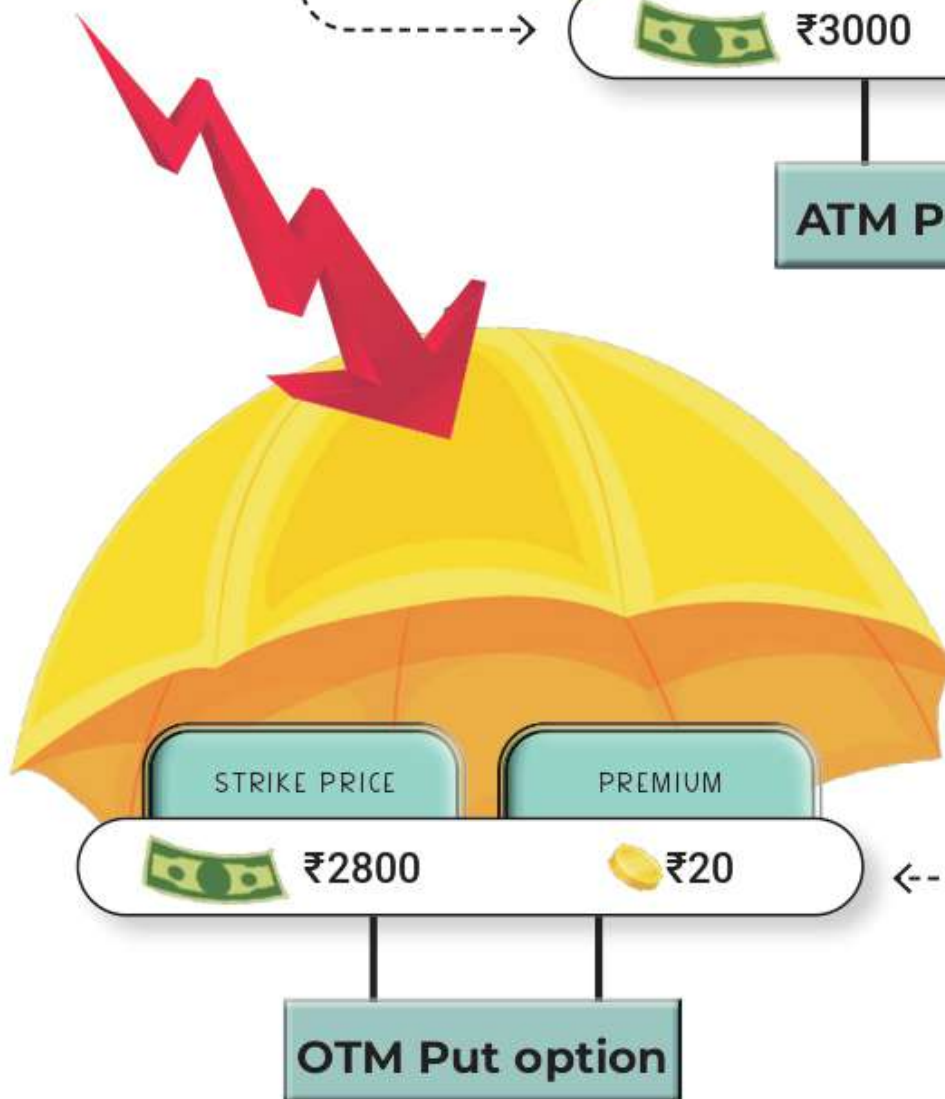
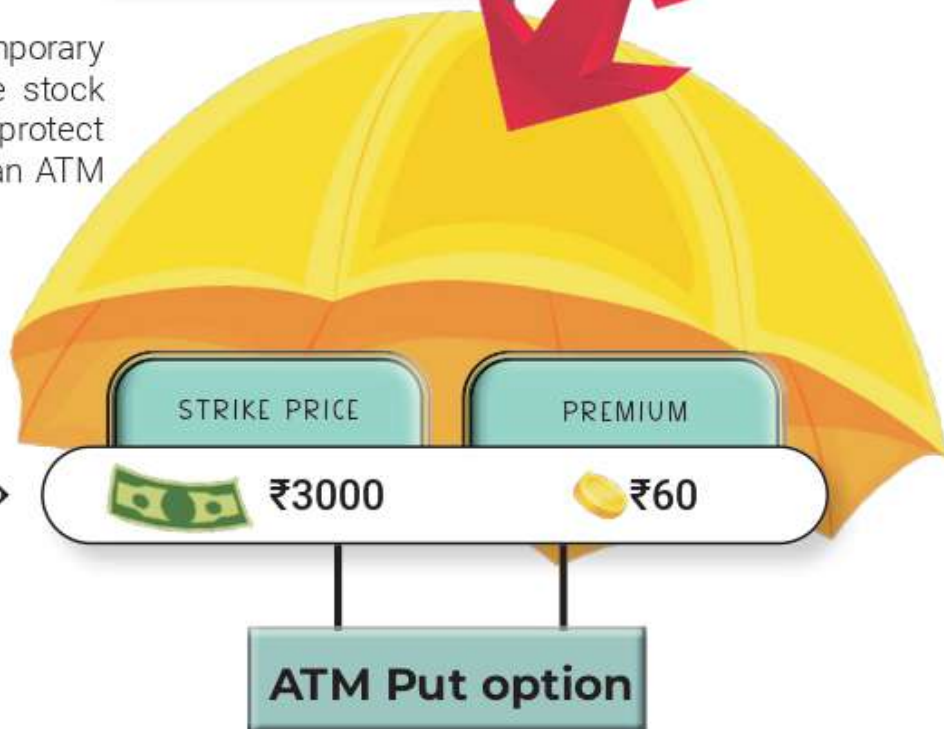


Let's understand what a protective put is through an example.
Suppose we own shares at

CURRENT
MARKET PRICE
₹3000

NUMBER OF
SHARES
₹1000

And we are expecting a temporary
downturn in the price of the stock
because of some reason. To protect
ourselves from this, we buy an ATM
put option at



Alternatively, we may
buy an OTM put at